



FOURTH QUARTER AND FULL YEAR 2015 FINANCIAL RESULTS

February 16, 2016

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes in other jurisdictions, challenges to our efforts to mitigate the impact of tax decisions such as the recent one by the European Commission, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2014, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FULL YEAR 2015 RESULTS

- Operational¹ revenue growth driven by continued performance across livestock, the addition of Abbott Animal Health and sales of APOQUEL
- Adjusted net income² grew faster than revenue with continued focus on efficiency, margin improvement
- Invested approx. \$1.6B to support growth through acquisitions, R&D and CapEx
- \$370M returned to investors through dividends and share repurchases
- Industry drivers remain strong despite global economic issues and foreign currency

POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Reaffirmed full year 2016 and 2017 guidance for Adjusted Diluted EPS²; updated other elements, primarily for impact of Venezuela and foreign currency
- Focused on major new product launches in Companion Animal and continued implementation of efficiency plans
- Enhancing customer service and supply, most notably in APOQUEL
- Continue investing in R&D and business development opportunities for growth

¹Operational growth excludes the impact of foreign exchange

²Adjusted net income and its components are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

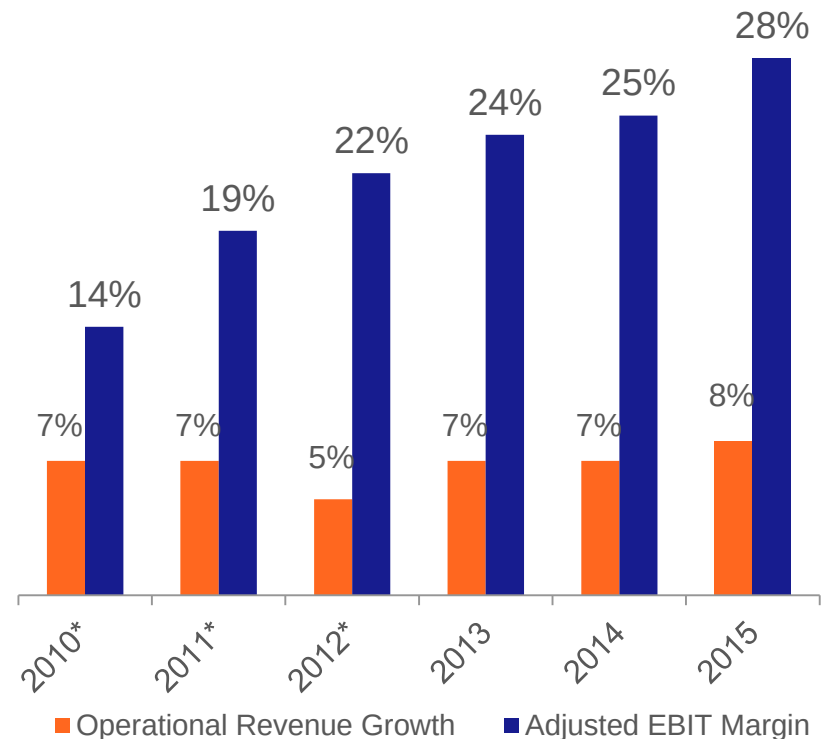
INDUSTRY LEADING REVENUE GROWTH WITH IMPROVING MARGINS

- We have delivered **consistent performance, outpacing the industry**
- 2015 revenue of **\$4.8 billion**, an **8% increase** on an operational¹ basis
- Adjusted EBIT Margin² **increased** from 14% in 2010 to **28%** in **2015**
- Savings from **operational efficiency initiative** drove improved profitability
- Continue to prioritize spending that delivers **value to customers**

¹ Operational revenue growth is defined as revenue growth excluding the impact of foreign exchange

² Adjusted net income and its components are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

ZTS Revenue Operational Growth Rates¹
& Adjusted EBIT Margin²



*Also excludes the impact of incremental revenue from: the acquisition of King Animal Health, acquired by Pfizer on January 31, 2011; the acquisition of Fort Dodge Animal Health (FDAH), acquired by Pfizer on October 15, 2009; and government-mandated divestitures of legacy FDAH and our legacy products in connection with the FDAH acquisition

INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter		
	2015*	2014*	Change
Revenue	\$1,274	\$1,320	(3)%
Reported Net Income	22	126	(83)%
Reported Diluted Earnings Per Share	\$0.04	\$0.25	(84)%
Adjusted Net Income ¹	214	203	5%
Adjusted Diluted EPS ¹	\$0.43	\$0.40	8%

* Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

INCOME STATEMENT HIGHLIGHTS

	Full Year		
	2015*	2014*	Change
Revenue	\$4,765	\$4,785	-
Reported Net Income	339	583	(42)%
Reported Diluted Earnings Per Share	\$0.68	\$1.16	(41)%
Adjusted Net Income ¹	889	790	13%
Adjusted Diluted EPS ¹	\$1.77	\$1.57	13%

* Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ²
Revenue	\$1,274	\$1,320	(3)%	(9)%	6%
Adjusted Cost of Sales ¹	467	471	(1)%	(3)%	2%
<i>as a percent of revenue</i>	36.7%	35.7%	NA	NA	NA
Adjusted SG&A Expenses ¹	390	450	(13)%	(6)%	(7)%
Adjusted R&D Expenses ¹	106	122	(13)%	(4)%	(9)%
Effective Tax Rate on Adjusted Income ¹	24.6%	18.5%	NA	NA	NA
Adjusted Net Income ¹	214	203	5%	(24)%	29%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Full Year				
	2015*	2014*	Change	Foreign Exchange	Operational ²
Revenue	\$4,765	\$4,785	-	(8)%	8%
Adjusted Cost of Sales ¹	1,667	1,680	(1)%	(8)%	7%
<i>as a percent of revenue</i>	35.0%	35.1%	NA	NA	NA
Adjusted SG&A Expenses ¹	1,399	1,507	(7)%	(7)%	-
Adjusted R&D Expenses ¹	360	393	(8)%	(3)%	(5)%
Effective Tax Rate on Adjusted Income ¹	26.8%	26.8%	NA	NA	NA
Adjusted Net Income ¹	889	790	13%	(11)%	24%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	Fourth Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$636	\$589	8%	-	8%
Livestock	348	368	(5)%	-	(5)%
Companion Animal	288	221	30%	-	30%
Cost of Sales	152	138	10%	-	10%
Gross Profit	484	450	8%	-	8%
<i>Gross Margin</i>	76.1%	76.4%	NA	-	NA
Operating Expenses	115	123	(7)%	-	(7)%
Other (Income)/Deductions	(1)	-	**	-	**
Earnings ²	370	327	13%	-	13%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Fourth Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$624	\$720	(13)%	(16)%	3%
Livestock	455	536	(15)%	(17)%	2%
Companion Animal	169	184	(8)%	(14)%	6%
Cost of Sales	235	263	(11)%	(14)%	3%
Gross Profit	389	457	(15)%	(18)%	3%
<i>Gross Margin</i>	62.3%	63.5%	NA	NA	NA
Operating Expenses	147	195	(25)%	(13)%	(12)%
Other (Income)/Deductions	(8)	(3)	**	**	**
Earnings ²	250	265	(6)%	(20)%	14%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Fourth Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Total International	\$624	\$720	(13)%	(16)%	3%
Australia	35	48	(27)%	(18)%	(9)%
Brazil	65	93	(30)%	(40)%	10%
Canada	55	60	(8)%	(14)%	6%
China	29	27	7%	(7)%	14%
France	31	37	(16)%	(10)%	(6)%
Germany	34	43	(21)%	(12)%	(9)%
Italy	24	27	(11)%	(15)%	4%
Japan	26	26	-	(10)%	10%
Mexico	20	22	(9)%	(26)%	17%
Spain	26	23	13%	(15)%	28%
United Kingdom	46	44	5%	(3)%	8%
Other Developed	77	84	(8)%	(12)%	4%
Other Emerging	156	186	(16)%	(13)%	(3)%

*Millions of dollars

¹Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	Full Year				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,328	\$2,059	13%	-	13%
Livestock	1,251	1,163	8%	-	8%
Companion Animal	1,077	896	20%	-	20%
Cost of Sales	551	482	14%	-	14%
Gross Profit	1,777	1,577	13%	-	13%
<i>Gross Margin</i>	76.3%	76.6%	NA	-	NA
Operating Expenses	389	401	(3)%	-	(3)%
Other (Income)/Deductions	(2)	-	**	-	**
Earnings ²	1,390	1,176	18%	-	18%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Full Year				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,386	\$2,676	(11)%	(15)%	4%
Livestock	1,707	1,940	(12)%	(15)%	3%
Companion Animal	679	736	(8)%	(15)%	7%
Cost of Sales	873	964	(9)%	(11)%	2%
Gross Profit	1,513	1,712	(12)%	(17)%	5%
<i>Gross Margin</i>	63.4%	64.0%	NA	NA	NA
Operating Expenses	570	685	(17)%	(14)%	(3)%
Other (Income)/Deductions	2	2	-	(43)%	43%
Earnings ²	941	1,025	(8)%	(18)%	10%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Full Year				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Total International	\$2,386	\$2,676	(11)%	(15)%	4%
Australia	144	173	(17)%	(17)%	-
Brazil	250	310	(19)%	(30)%	11%
Canada	172	191	(10)%	(13)%	3%
China	123	107	15%	(2)%	17%
France	108	151	(28)%	(13)%	(15)%
Germany	120	150	(20)%	(16)%	(4)%
Italy	90	104	(13)%	(16)%	3%
Japan	101	104	(3)%	(14)%	11%
Mexico	75	84	(11)%	(18)%	7%
Spain	86	91	(5)%	(18)%	13%
United Kingdom	168	166	1%	(8)%	9%
Other Developed	288	326	(12)%	(14)%	2%
Other Emerging	661	719	(8)%	(10)%	2%

*Millions of dollars

¹Operational growth excludes the impact of foreign exchange.

2016 FINANCIAL GUIDANCE BRIDGE

Selected Line Items (millions of dollars, except per share amounts)	As Provided on November 3, 2015	January EC Tax Matter ⁴	Foreign Exchange & Venezuela ⁵	Other	Updated Full Year 2016
Revenue <i>Operational growth</i> ¹	\$4,750 to \$4,875 3% to 5%		(\$125)	\$25	\$4,650 to \$4,775 2% to 4%
Adjusted cost of sales as a percentage of revenue ²	33% to 34%				33% to 34%
Adjusted SG&A expenses ²	\$1,310 to \$1,360		(\$35)	(\$25)	\$1,250 to \$1,300
Adjusted R&D expenses ²	\$360 to \$380				\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$150				Approximately \$150
Adjusted EBIT margin ²	Approximately 31%				Approximately 31%
Effective tax rate on adjusted income ²	Approximately 28%				Approximately 33%
Adjusted diluted EPS ²	\$1.84 to \$1.94	(\$0.13)	(\$0.06)	\$0.06	\$1.71 to \$1.81
Adjusted Net income ² <i>Operational growth</i> ¹	\$925 to \$975 14% to 20%	(\$65)	(\$30)	\$25	\$855 to \$905 6% to 12%
Certain significant items ³ and acquisition-related costs	\$130 to \$180			(\$60)	\$70 to \$120
Reported diluted EPS	\$1.50 to \$1.68	(\$0.24)	(\$0.06)	\$0.10	\$1.30 to \$1.48

¹Operational growth excludes the impact of foreign exchange

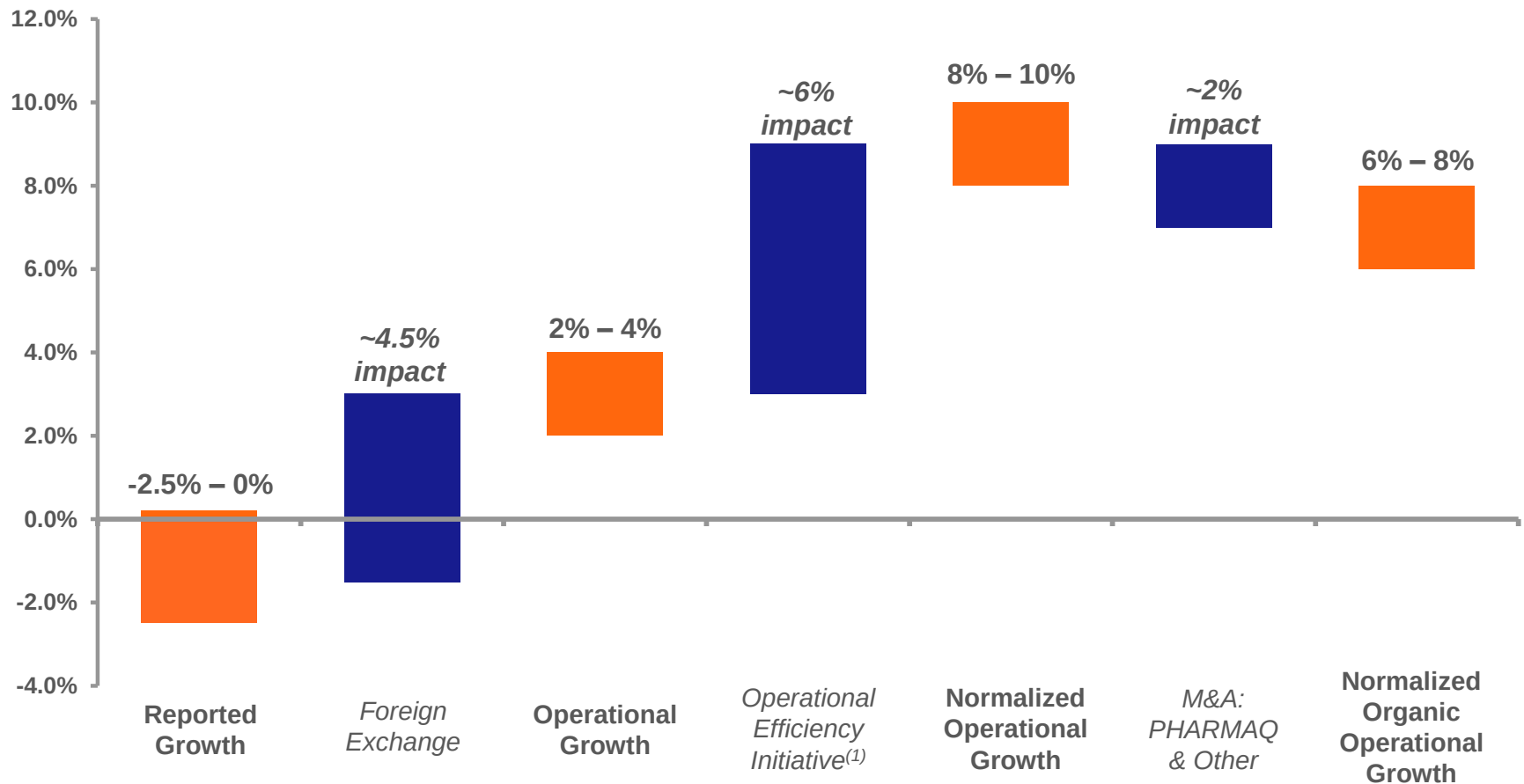
²Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³Primarily includes certain nonrecurring costs related to restructuring and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs.

⁴Reflects the impact of the European Commission decision regarding Belgium tax rulings, as announced January 2016. The reported diluted EPS impact includes \$55 million of one-time charges, in addition to the \$65 million impact to adjusted net income.

⁵Reflects the impact of changes to foreign exchange rates underlying prior guidance and late January foreign exchange rates.

2016 REVENUE: UNDERLYING GROWTH REMAINS STRONG



1. Includes impact of Venezuela business reduction

2017 FINANCIAL GUIDANCE BRIDGE

Selected Line Items (millions of dollars, except per share amounts)	As Provided on November 3, 2015	January EC Tax Matter ⁴	Foreign Exchange & Venezuela ⁵	Other	Updated Full Year 2017
Revenue <i>Operational growth</i> ¹	\$5,025 to \$5,225 4% to 9%		(\$150)	\$75	\$4,950 to \$5,150 5% to 9%
Adjusted cost of sales as a percentage of revenue ²	32% to 33%				32% to 33%
Adjusted SG&A expenses ²	\$1,270 to \$1,360		(\$40)	(\$10)	\$1,220 to \$1,310
Adjusted R&D expenses ²	\$360 to \$380				\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$150				Approximately \$150
Adjusted EBIT margin ²	Approximately 34%				Approximately 34%
Effective tax rate on adjusted income ²	Approximately 28%				Approximately 30%
Adjusted diluted EPS ²	\$2.24 to \$2.38	(\$0.06)	(\$0.08)	\$0.08	\$2.18 to \$2.32
Adjusted Net income ² <i>Operational growth</i> ¹	\$1,125 to \$1,195 18% to 26%	(\$30)	(\$40)	\$35	\$1,090 to \$1,160 24% to 32%
Certain significant items ³ and acquisition-related costs	\$50 to \$80				\$50 to \$80
Reported diluted EPS	\$2.04 to \$2.22	(\$0.06)	(\$0.08)	\$0.05	\$1.95 to \$2.13

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²Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³Primarily includes certain nonrecurring costs related to restructuring and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs.

⁴Reflects the impact of the European Commission decision regarding Belgium tax rulings, as announced January 2016.

⁵Reflects the impact of changes to foreign exchange rates underlying prior guidance and late January foreign exchange rates.

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$270 to \$290
Operational efficiency initiative	\$330 to \$360
Supply network strategy	\$60 to \$80
Certain significant items and acquisition-related costs	\$660 to \$730

¹Excludes non-cash charges of \$57 million in 2015

²Includes charges of \$93 million in the fourth quarter of 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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